Theory Article

Organization Theory
Volume 4: 1–24

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The Iron Cage Redux: Looking Back and Forward

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Abstract
This seems an opportune time to reflect on our paper, *The Iron Cage Revisited*, some 40 years after its original publication. In this essay, we recall the influences on us at the time, speculate on factors that shaped its subsequent reception, and assess selective strands of work that it may have influenced. By today's standards, it was a relatively short paper, only 14 pages, yet it has had a long life and a generous audience (68,624 citations according to Google Scholar on Oct. 15, 2023). We divide the essay into four parts: (a) our experiences at Yale in the early 1980s and the influences on us; (b) thoughts on the reception of the paper shortly after it was published; (c) reactions to the attention it subsequently received; and (d) brief reflections on subsequent institutional lines of work that we have followed. We conclude with thoughts on theorizing in organization studies.

Keywords
institutional theory, iron cage, isomorphism

Yale in the Early 1980s

We both arrived at Yale in August 1979. We had not previously met face to face but had corresponded about a special issue of the journal *Social Research* that Woody had a hand in editing, and to which Paul and Mike Useem contributed a paper (DiMaggio & Useem, 1978; Powell, 1978). We had a long telephone conversation before either of us knew where we would end up about the travails of the perilous academic labor market (we both considered alternate non-academic careers; Paul had been a production editor, journalist and aspiring songwriter, Woody had an offer for an editor's position at Basic Books). We shared a common

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interest in the sociology of culture and organization studies, which was a rare combination at the time. The sociology of culture was not the vibrant subfield it is today. There were a few people, notably Diana Crane, Paul Hirsch, and Richard Peterson, who were working in an area called the production of culture, and their work excited us both.

Paul studied at Harvard, where he was influenced by Ann Swidler, who almost single-handedly revived an interpretive sociology of culture, Harrison White, and Michael Useem, with whom he had co-authored several papers on the audiences for the high-culture arts. Swidler had written a book on free schools, and the challenges that teachers in these pockets of experimentation faced once they rejected bureaucratic forms of authority (Swidler, 1979). White had developed his remarkable ideas about blockmodeling and structural equivalence, based on the insight that a "position" or "role" could be understood through shared similarities in social relations rather than characteristics intrinsic to the individual occupants (Lorrain & White, 1971; White et al., 1976). Scott Boorman, a new colleague at Yale, avidly encouraged both of us. Ideas about social networks and structural equivalence had a strong influence on the *Iron Cage* paper.

Woody studied at Stony Brook, working with Lewis Coser, Charles Perrow, and Mark Granovetter. Coser (1974) had written a book on greedy institutions, highlighting the demands that organizations of all kinds placed on individuals to conform. Perrow was an extraordinary organizations scholar, and a capacious reader. He introduced Woody to Pfeffer and Salancik's (1978) work on the external control of organizations and to an underappreciated book by Roland Warren and colleagues on how influences transfer through interorganizational networks (Warren et al., 1974). Granovetter was a student of White's and shared ideas about networks and structural equivalence with Stony Brook students.

During Paul's first year at Harvard, he told Useem that he wanted to study how schools mistake cultural differences between middle-class and working-class kids for differences in aptitude. Useem mentioned the work of French sociologist Pierre Bourdieu, who was at the time largely unknown in the United States. Paul subsequently wrote a long review essay about Bourdieu's work, and there encountered Bourdieu's ideas about fields, which resonated, he thought, with White's ideas about networks, even though Bourdieu had little interest in network analysis and White abjured spatial representations of social structure (DiMaggio, 1979). The combination of ideas about the relational aspects of fields and network equivalence generated an interest in both of us to theorize how wider environments shape individual organizations.

In our respective early research, we both observed how domains that initially showed a great deal of diversity faced pressures to narrow their offerings over time. Paul studied the evolution of high culture organizations in New England. He noticed that in the mid 19th century an evening's performance at the Hartford Athenaeum would include a reading from Shakespeare, a piano recital, and a minstrel jig. The program mixed genres and appealed to different audiences. By the turn of the century, however, popular culture and elite culture diverged into separate domains, and elite culture came to be presented in standardized ways by similarly organized non-proprietary organizations (DiMaggio, 1982). In book publishing, early 20th-century publishing houses featured both popular fiction and distinguished novelists side by side, with a nonfiction list that included current events and serious scholarship as well. Over time, the worlds of trade publishing, scholarly publishing, textbook publishing, and monograph publishing became highly segregated, and publishing houses focused either on only one, or assigned the different activities to semi-autonomous lines of business (Powell, 1985). There were exceptions, but as the beautiful documentary *Turn Every Page* (Gottlieb, 2022), about the relationship between writer Robert Caro and legendary editor Robert Gottlieb, makes clear, it was rare for an editor in a major publishing house at the time to handle both fiction and non-fiction authors.

Consequently, we shared an interest in how organizational and environmental forces both reduced variety and induced commensurability. We noticed how difficult it was for organizations with distinctive values to swim against the tide. Woody had studied university presses and literary publishers, who struggled to escape commercial demands and the organizational practices of a publishing world increasingly dominated by large for-profit firms. Paul was involved in research on nonprofit arts organizations, one part of which was devoted to alternative, progressive neighborhood arts groups that found it difficult to maintain their democratic values and egalitarian governance structures if they wanted to survive in the modern "grants economy." Looking back, it is perhaps notable that we saw comparable processes across book publishing and arts organizations, and subsequently developed a theory that has been used to account for behavior in all types of organizations around the world.

Not only did we share research interests, we both ended up with appointments in three units at Yale. Perhaps this was not the wisest decision for young assistant professors, but back then, as now, you took a job wherever you can find one. None of the appointments was ideal, but together they offered a cornucopia of colleagues, ideas, and opportunities. We each had appointments in Sociology, the School of Organization & Management (SOM), and the Institute for Social and Policy Studies (ISPS). (For reasons related to Yale internal politics, for several years Paul had no primary appointment, which meant that his position was, strictly speaking, invalid; but no one seemed to mind and Yale continued to pay him.) At ISPS, there was a vibrant program on nonprofit organizations (PONPO) led by the indefatigable John Simon, a professor in the Yale School of Law. At PONPO, we first encountered scholars such as economist Henry Hansmann and cultural historian Peter Hall. Hansmann and Hall would subsequently contribute the two most-cited chapters to the first edition of *The Nonprofit Sector*, which featured PONPO scholars (Powell, 1987). PONPO was a safe haven for us, which we relished, and John Simon our supportive patron. The first completed draft of our paper was published as a PONPO working paper in 1982.

In sociology, several colleagues had strong influences on our work. Eleanor Westney was working on her brilliant book on innovation through imitation, chronicling how Meiji Japan had borrowed business models for their public services and armed forces from Europe and the United States (Westney, 1987). Rosabeth Kanter (1972, 1977), whom Woody and Paul knew from her early work on American communes (she had shared her 19th-century data with Woody so he could write a master's thesis comparing 20th-century communards with those from a century earlier), had written *Men and Women of the Corporation*, with her potent ideas about homosocial reproduction, and was the first scholar to use the term "isomorphism" in print in a way similar to ours. Conversations with Westney and Kanter deeply influenced us.

The director of ISPS was the political scientist Charles Lindblom. Ed, as he was called, was an extraordinary intellectual whose book *Politics and Markets* is essential reading for understanding the 50 years that have followed its publication (Lindblom, 1977). Although he could be interpersonally intimidating, he was warmly supportive while offering us sharp, insightful critiques of our paper's early drafts. Our colleague Carl Milofsky, who was studying the difficulties that democratically oriented community organizations had in responding to the demands of United Way and other funders, participated in our earliest conversations about the phenomenon of institutional isomorphism, but declined to work on the paper due to more pressing demands. Also at ISPS were economists Dick Nelson and Sid Winter; their book *An Evolutionary Theory of Economic Change* was an iconoclastic blast at orthodox thinking in their discipline (Nelson and Winter, 1982). They both proved to be terrific colleagues throughout our time at Yale. At SOM, Janet Weiss was a wonderful junior colleague who pointed us to Thomas Schelling's (1978) *Micromotives and Macrobehavior*. This extraordinary book linked individual actions with collective outcomes and developed Schelling's now famous work on tipping points. A memorable example was his discussion of how people driving west on the Massachusetts turnpike at sunset, with the sun glaring through their windshields, encountered cars coming in the other direction with their lights on, and even though there was no need for headlights, would turn theirs on too. The imagery of how individual choices aggregated into collective consequences haunted us, and led to our ideas about collective rationality.

At SOM, we were among the first crop of sociologists to encounter management education. SOM was an unusual place at the time, aiming to produce graduates for the public, nonprofit, and private sectors. One of the most striking early encounters was watching recruiters from McKinsey, Bain, and Boston Consulting Group show up to interview students. Suddenly, all these long-haired free spirits cleaned up their acts and put on coats and ties or white blouses and pencil skirts and marched into the interview rooms. Afterwards, they would dash into the bathroom and change back into their jeans. Even though many students convinced themselves that they needed a stint in the corporate sector to be taken seriously as nonprofit or government managers, most of them would never leave the private sector. Woody could watch the interview process unfold through his office window, and this homogenizing process surprised him.

In addition to the conversations that we were having with colleagues and the rich stew of ideas we had not previously encountered, we were busy doing research. Through PONPO, Woody had been introduced to WNET, the largest public broadcasting station in the country, and New York's flagship public television channel. As with Paul's work on small, alternative arts organizations and Woody's on scholarly publishers, the WNET case demonstrated vividly how external pressures were felt internally within organizations, and how these pressures led organizations to make choices that made them less distinctive (Powell & Friedkin, 1986). For example, the consulting firm McKinsey was advising the station, on a pro bono basis, as it grappled with budget cuts that had been prompted by the Reagan administration's distaste for the supposedly liberal tilt of public TV. The McKinsey consultants proposed that the station, which had been organized into 13 small largely autonomous functional departments according to different types of journalistic and creative activities, reorganize itself into a multidivisional firm with four departments, grouped into local, state, and national divisions, with a for-profit subsidiary that would sell program rights to the newly emerging cable TV industry. Given the station's limited resources, this grand reorganization seemed ludicrous to the station's staff. When sharply pressed for why they should undergo this transformation, the consultants responded that such a reorganization would "make the sleepy nonprofit seem modern." The line in our paper about consulting firms as providers of *haute couture* to organizations, and organizational structures as signals, emerged directly from this field work.

Relatedly, Woody was sitting in a senior executive's office at WNET one morning after the MacNeil Lehrer show had broadcast the night before. The Speaker of the House Tip O'Neill, a Democrat but a good personal friend of President Reagan, had been booked months in advance for an appearance. But it so happened that President Reagan scheduled a news conference that night to announce his storied tax cuts. Speaker O'Neill used the occasion to attack the President, and to Republicans it seemed like the public broadcasting system had been used to do a hack job on the President. As we drank our coffee, the phone rang and it was David Stockman, President Reagan's budget director and he was very steamed. The executive discreetly put the phone on speaker and Woody listened as Stockman dressed her down and threatened that the station would never receive a dime of federal funding again. That was coercive pressure from the state seen at close range, and led the station to think harder about the McKinsey recommendation to focus more on earned income.

Paul had observed how nonprofits changed as they had to account for the receipt of federal funds. Many of them had never had accountants on their staff, relying on treasurers to add up the dollars to try to keep track of their budgets. But with federal funding came demands for annual reports, and new expertise was needed to produce these reports and render the organizations accountable. Similarly, federal funds brought demands to demonstrate audience appeal, so marketing specialists swelled the management ranks. The act of hiring accountants and marketing experts brought a different mindset inside cultural organizations, curbing some arcane, even nutty, practices as well as harmonizing efforts in the interest of producing budgets and business plans. These challenges were especially great for organizations committed to democratic governance, either through circulating executive roles or employing collective decision-making. Grant applications, however, had a field for the name of the "Executive Director" that had to be filled in, and more importantly, funders wanted someone on whom they could place responsibility. Thus were collectivist cultural groups transformed into hierarchies. Here Paul saw firsthand what we referred to as the institutional definition of an organizational field.

These different insights came together for us. We began to think of fields as a wider unit of analysis than industries. Students of organizational networks had already demonstrated that relational networks were consequential (Laumann et al., 1978). But we felt it was important to consider both connectedness and structural equivalence. Structural equivalence highlights how people in comparable positions, who may not know each other, feel similar pressures, and come to hold comparable beliefs. We generalized equivalence from people to organizations. By connectedness, we meant relationships that tied organizations to one another, whether through professional associations, boards of directors, or personnel flows. The first footnote in the paper went to some length to develop these ideas. We sought to develop a dual analysis of both organization-level and field-level influences. Building on Bourdieu, we also understood fields as cultural constructs. Organizations whose leaders understood them to be part of the same institutional domain were more likely to pay attention to one another in considering decision alternatives; they were more likely to make choices that made them subject to similar external pressures; and they were more likely to choose one another as "peers" for such purposes as structuring search, defining organizational roles, or even deciding on executive compensation.

These ideas did not, of course, come to us in whole cloth. Powell presented an early draft at the American Sociological Association meetings in Toronto in August 1981. This was at a roundtable and as we recall only two people showed up, Howard Aldrich and Arthur Stinchcombe. A small showing, but were we ever fortunate! We had an hour with two of the most generous and thoughtful organizations scholars, who helped us think about how to turn these ideas into a conceptual paper. Paul gave a paper at an organization theory conference that Richard Hall ran at SUNY Albany on organization theory and public policy where he developed a process model for how fields become structured through four stages: (a) an increase in interaction among organizations; (b) the emergence of a hierarchical structure in a field so that some organizations are more emulated than others; (c) an increase in the information load that organizations must deal with; and (d) recognition among participants that they are tied together in some form of common enterprise (DiMaggio, 1983). Once members of a field recognize each other, powerful forces lead them to become more alike.

The subtitle of the 1983 paper is 'Institutional isomorphism and collective rationality in organizational fields." We posited that organizations making rational decisions construct around themselves an environment that constrains their ability to change further in later years. The paper set about explaining the mechanisms by which this occurred, and it is perhaps these mechanisms that have received the most attention over the years. We turn to them next. But in retrospect, one of the most novel aspects of our paper was the connection between organization- and field-level influences. Organization theory at the time, at least as it was practiced in sociology departments and in a few management schools, was very organization centered. It saw the world through the lens of a single organization. Yet there were stirrings of a broader perspective among several scholars whose research programs would transform the face of organization theory over the next two decades. Mike Hannan and John Freeman (1977) were developing organizational ecology, arguing that individual adaptation by organizations was a less important factor in organizational change than selection and replacement at the population level. Joseph Galaskiewicz (1985) had begun his remarkable study of how Twin Cities corporate foundations influenced one another's grant-making and shared evaluations of local nonprofits. John. Meyer and Richard Scott (1984) were pursuing a robust research program on how societal influences came to bear on organizations. So we were among a small group of researchers thinking about the linkage between internal organizational change and wider field-level changes and the co-construction of both. We differed somewhat as we had a more relational view of organization–environment relations. But this was a fertile moment when lots of new ideas were sprouting.

To be candid, we were vague about what was exactly changing inside organizations; we used words like goals, policies, programs, and structures to hedge our bets. But in some respects that ambiguity reflected what we had seen in our research where organizations were changing their departments, names, accounting procedures and hiring practices in response to external forces. There was no one template, but rather a sense of emerging membership in a larger community. As we discuss later, the question of what aspects of organizations are most vulnerable to isomorphic pressures, and which are less so, remains open.

We did not fully anticipate the extent to which people would focus on the idea of institutional isomorphism, and the three mechanisms that generate organizational change, to the exclusion of the argument about the relational properties of fields (which set the scope conditions under which the mechanisms were expected to operate). The idea of isomorphism came from urban ecology, beginning with the work of Amos Hawley (1950) in which he described how units of a population facing similar environmental conditions come to resemble one another. The idea seemed a powerful one, even though Hawley and those whose work he inspired, like Hannan and Freeman, viewed isomorphism as a product of competitive pressures on a population. We diverged with that work by offering an institutional view. Eventually, we came to appreciate the importance of selection as well as adaptation, and in organizational ecology, institutional factors, most notably legitimacy, became critical to increasing the founding rates of new organizations.

Our paper included a sentence asserting that organizations compete not just for resources and customers, but for political power and institutional legitimacy, for social as well as economic fitness. That line generated a lot of attention! Our version of institutionalism was influenced by Rosabeth Kanter, most notably her 1972 book on 19th-century American communes that discussed the forces that pressed communes to make accommodation with the outside world. (In a footnote in that book, Kanter credited the term isomorphism to her University of Michigan dissertation advisor, and our Yale Sociology colleague, Albert Reiss, who likely learned it from Hawley.)

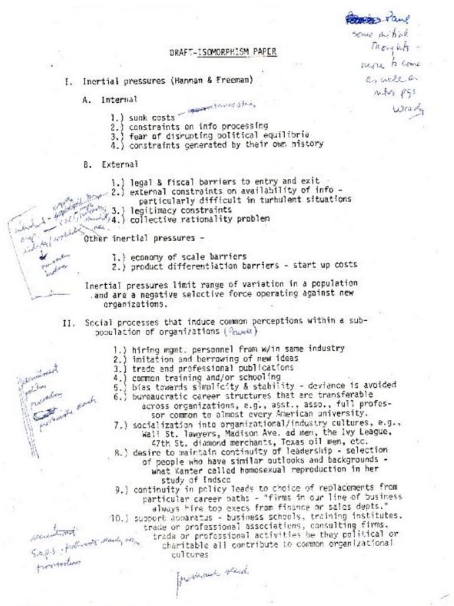
With regard to the three mechanisms, there was no magic moment when they popped into our heads. They emerged from different lines of work and different discussions. Coercive isomorphism, formal pressures exerted on organizations by other organizations upon which they are dependent, built clearly on Pfeffer and Salancik's (1978) work. We also drew on Woody's direct experience of observing family-owned publishing firms being absorbed into media conglomerates, and seeing how these new subsidiaries had to adapt to the standards, budgetary plans, and service infrastructures of powerful corporations (Coser et al., 1982). All told, we emphasized how the expansion of the state, the power of financial capital, and the coordination of philanthropy acted to channel organizations in particular ways.

Direct authority was not the only source of isomorphism, and we coined the term mimetic isomorphism, both borrowing an idea from literary criticism (Auerbach, 1953) and developing Cyert and March's (1963) idea about search under conditions of uncertainty. When organizations face uncertain environments, or when their goals are ambiguous, they often turn to templates or models. Put differently, organizations copied their peers as a strategy for being rational given incomplete information. The effort should not be seen as blind mimicry, but rather as a type of inference. Here we were influenced by conversations with Eleanor Westney who was studying the process by which the Japanese Imperial Government in the late 19th century borrowed from Western institutions, and with the early 1980s efforts of US firms to adopt quality circles and quality of work life practices from Japan (Vogel, 1979). We were inspired as well by Alchian's (1950) wise observation that a good deal of innovation is actually failed imitation.

We were both deeply influenced by work on the professions, most notably that of Randall Collins (1979) and Magali Sarfatti Larson (1977), especially ideas about how professionals attempt to establish a cognitive basis for their occupational autonomy. We saw the expansion of professional credentials as part of this process, and the growth of professional networks that span organizations as a powerful way in which new ideas and models diffuse. We also observed how much professional filtering causes people to view problems in a similar way, and to see policies and procedures that their profession has celebrated as the natural way of organizing things. Particularly in emerging semi-professions like arts management, aspiring professionals would build fields as a byproduct of their efforts to forge professional networks that could facilitate career mobility and enhance their authority in the eyes of their boards.

We made several claims about the mechanisms, perhaps most notably that these isomorphic processes proceeded in the absence of evidence of their efficiency. This discussion probably got us linked to other work on organizations, most notably John Meyer and Brian Rowan's (1977) work on myth and ceremony, and Karl Weick's (1976) work on loose coupling. We were less familiar with these bodies of work than perhaps we should have been, but once we began reading them, we recognized these authors as kindred spirits.

Looking back, we were blessed by the number of generous people who helped us with this paper. Our students read it, and colleagues also. But people outside of our local community, such as Randall Collins, John Meyer, and Arthur Stinchcombe, read drafts of the paper. Meyer, with a generosity that we would learn was standard for him, responded to the draft that we mailed him within a week. We still remember how thrilled we were when we received his comments. Of course, not everyone was as receptive. Paul's mentor, Harrison White, after offering exhaustive comments on another one of Paul's papers, thanked him for sending along "the wacky paper with Woody." Reciprocally, Woody's mentor Charles Perrow said that we had failed to address the issue of power, a familiar refrain from him. At Yale SOM, junior faculty had senior mentors and Woody was fortunate to have Richard Hackman, already an eminent social psychologist back then, as his. Hackman and Powell co-taught a course on managing organizational systems, and it was clear that he did not initially take to the ideas in the *Iron Cage.* But then one day he burst into Woody's office. A tall and somewhat imposing figure, he jumped up on a chair and stomped his feet, saying, "I get it, I get it, I finally get it." Startled, all Woody could do was respond: "What do you get?" He said, "Isomorphism! I just came out of a recruitment meeting, and we


DRAFT-ISOMORPHISM PAPER

I. Inertial pressures (Hannan & Freeman)

A. Internal

1.) sunk costs
2.) constraints on info processing
3.) fear of disrupting political equilibria
4.) constraints generated by their own history

B. External

1.) legal & fiscal barriers to entry and exit
2.) external constraints on availability of info - particularly difficult in turbulent situations
3.) legitimacy constraints
4.) collective rationality problem

Other inertial pressures -

1.) economy of scale barriers
2.) product differentiation barriers - start up costs

Inertial pressures limit range of variation in a population and are a negative selective force operating against new organizations.

II. Social processes that induce common perceptions within a sub-population of organizations (Powell)

1.) hiring mgmt. personnel from w/in same industry
2.) imitation and borrowing of new ideas
3.) trade and professional publications
4.) common training and/or schooling
5.) bias towards simplicity & stability - deviance is avoided
6.) bureaucratic career structures that are transferable across organizations, e.g., asst., asso., full professor common to almost every American university.
7.) socialization into organizational/industry cultures, e.g., Wall St. lawyers, Madison Ave. ad men, the Ivy League, 47th St. diamond merchants, Texas oil men, etc.
8.) desire to maintain continuity of leadership - selection of people who have similar outlooks and backgrounds - what Kanter called homosexual reproduction in her study of Indsco
9.) continuity in policy leads to choice of replacements from particular career paths - "firms in our line of business always hire top execs from finance or sales depts."
10.) support apparatus - business schools, training institutes, trade or professional associations, consulting firms, trade or professional activities be they political or charitable all contribute to common organizational cultures

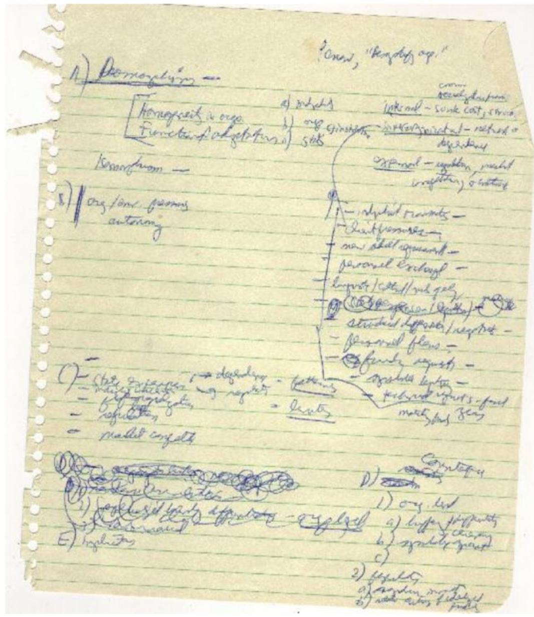


Exhibit 1. Original notes by Woody (left) and Paul (right) for the eventual 1983 paper.

are going to hire a behavioral accountant. I asked why do we need a behavioral accountant when we never had one before? What do they do? The response was, 'It doesn't matter—Chicago and Stanford have them and we must get one too'."

Initial Reception

By early 1982 we had a paper ready to go out for review. We had circulated it locally, as well as externally, and received all manner of feedback. The paper, we believed, made several original conceptual and theoretical contributions. The three mechanisms combined realist ideas in the form of coercive isomorphism, phenomenological ideas with mimetic isomorphism, and an emphasis on the role of the professions and cognition with normative isomorphism. We were taken with Lynne Zucker's ideas about institutionalization as a phenomenological process by which certain social relationships and actions come to be taken for granted (Zucker, 1977). Her insight about taken-for-grantedness influenced our mimetic and normative mechanisms, as expectations about roles are culturally transmitted and serve as aspirational targets. We viewed the professions as committed to a set of normative understandings grounded in similar origins, shared advanced education, stable career prospects, and a privileged status in society, with the character of those understandings closely aligned with the status of the universities that generated them and the organizations that adopted them. Professionals also carry packages of routines around with them. The claim that organizations were not just dependent on or influenced by their wider environments but are both constructed in them and constituted by those environments seemed intuitive to us. And the concept of fields captured a synthesis of the ideas of interorganizational network and organizational population—the first too purely relational, the latter not relational enough—that seemed like a useful addition. Finally, we asserted that institutions represent the more enduring features of social life, and that the manner in which they are reproduced serves to structure and organize social action.

We sent the paper off to the *American Journal of Sociology*, in part because we naively thought it would be more receptive to a theoretical paper. Several months later, we received a flat rejection. *AJS* did not see the paper as an organizations paper at all, and instead sent it for review to political sociologists, perhaps in part because that draft included an underdeveloped set of arguments about a neo-Marxist theory of the state. The two reviewers did not like what we had to say (subsequently, both of them wrote us kind notes to the effect that "guess I got this one wrong"). Woody reached out to his former graduate advisor, Mark Granovetter, who was spending 1982 at the Institute for Advanced Study in Princeton, working on the embeddedness paper that became a blockbuster work (Granovetter, 1985). We sent along the reviews and asked him what to do. He wrote back quickly: "Fix the typos, stick it in an envelope and send it to *ASR*." We had much better success with *ASR*. We received two very positive reviews that pushed us to further develop the idea of how fields became elaborated. On October 18, 1982, then editor Sheldon Stryker sent us a three-paragraph note saying that he liked what we had accomplished in the revision. He noted he was certain the paper could be reduced in size, by eliminating a number of references, but he was not inclined to push us on this front. He thanked us for a first-rate paper and said it would appear very soon, most likely in April. Needless to say, we were thrilled.

There was no immediate outpouring of attention upon publication. We spent much of the next academic year working with a colleague, Blair Wheaton, trying to develop empirical methods to study processes of homogenization and field construction. Wheaton was a terrific methodologist, and yet as a social psychologist and epidemiologist, he was far from the organizational domain. We tinkered with ideas that looked much like the differences in differences model that became popular a decade later in economics. But alas we did not crack that nut. In 1985, Woody moved to MIT and Paul spent a year as a fellow at the Center for Advanced Study in the Behavioral Sciences (CASBS). The Center would prove to be very important in our careers and to the paper's reception.

While at CASBS, Paul began to have regular contact with John Meyer and Dick Scott who were actively building a major institutional-theory research program, with a number of remarkable graduate students and postdoctoral fellows (Frank Dobbin, Lauren Edelman, John Sutton, and many others) who would go on to be prominent sociologists in their own right. Meyer and Scott invited us both to a small conference at Stanford in November 1985, and welcomed us with open arms into their community. This was the first time there seemed to be a group of organization scholars committed to studying processes of institutionalization and how ideas traveled across organizational fields. There was a lot of dialogue and sharing of ideas, and subsequently in Spring 1986, Lynne Zucker organized a conference at UCLA to further crystalize neo-institutional theory and bring it into contact with the old institutionalism of Philip Selznick and the ethnomethodological research of her UCLA colleague, Harold Garfinkel. That conference further built the bonds of a community.

In 1986–87, Woody spent a year at CASBS. In Spring 1987, Woody and Paul organized a conference at CASBS that eventually led to the "orange" book, *The New Institutionalism in Organizational Analysis*, published by the University of Chicago Press. Two things made that book a touchstone. First, we decided to combine an expansive introduction with a handful of core papers and a number of exceptional new papers. We were impressed by Evans et al.'s (1985) *Bringing the State Back In* and aspired to create something that would have a similar impact. Second, Woody stayed on at CASBS for a second year, due to a medical emergency, and among his colleagues were the economist Douglas North and the political scientist Robert Keohane. Lengthy conversations with the two of them enabled him to see that there was a wider institutional turn occurring throughout the social sciences. Fruitful talks with Jim March made

Woody aware of his work with Johan Olsen on the logic of appropriateness versus the logic of consequences (March & Olsen, 1983, 1989). Rather than viewing collective behavior as the aggregate of individual choices, scholars across the social sciences were beginning to think about collective outcomes in a fresh, new way. To be sure, there was variation between work in economics and political science and between both of those and sociology, but it felt like we were part of a wider movement, if not a revolution in thought. Thus, we put much more energy into writing an introductory essay for the volume, and spent a good bit of time trying to develop a different view of individual action, one that was more pragmatic than calculative, and one in which habit, rules of thumb, and taken-for-granted understandings played a more substantial role—in effect an approach that conceived of people as *practical* actors rather than *rational* actors. The work that went into the essay paid off, as the book generated a great deal of attention, boosting the 1983 paper considerably. And in a small way, we were vindicated, as our mentors Charles Perrow and Harrison White provided very kind blurbs for the book.

Garnering Attention

Within the discipline of sociology, the *Iron Cage* and the subsequent book caught a wave. There was a general cultural turn in social theory, as constructivist thinking began to take hold. In addition, network analysis was expanding from its initial enclave in sociology, to, first, organization studies and then all the sciences. Our paper piggy-backed on both trends, as it combined constructivist and relational thinking, which was rare at the time. There was also growing skepticism about rational models of decision making at both the individual and organizational levels, and we contributed to this discourse.

The paper traveled across disciplines and oceans, and into professional schools. There was the explosion of many institutionalisms (Hall & Taylor, 1996), such as historical institutionalism (Steinmo et al., 1992), positive theories of institutions (Shepsle, 1989; Shepsle & Weingast, 1987), political institutionalism (March & Olsen, 1983, 1989), and the new institutional economics (Banarjee, 1992; North, 1990; Williamson, 1985). We were all paying some attention to each other's work. More social scientists were moving into management schools, and for sociologists in particular, our line of work provided a useful theoretical orientation. The paper came to be read and cited in other professional schools, including education, law, public administration, and public policy. It even became a canonical citation (if not always a required reading) in distant disciplines, such as accounting, nursing, and social work, whenever authors wanted to say that institutions matter or that organizations emulate one another.

We received a warm reception in Europe, especially in Scandinavian organizational research where scholars were studying how ideas travel and are translated (Brunsson & Jacobsson, 2002; Czarniawska & Sevón, 1996; Sahlin-Andersson & Engwall, 2002). The central idea of this work—that when something spreads, its meaning changes—was resonant with our approach. The distinctive element was the idea of translation, where global ideas become detached from their original source and turned into local practice. In 1999, Woody moved from Arizona to Stanford and became Director of the Scandinavian Consortium for Organizational Research (SCANCOR), stepping into March's shoes. Soon the annual SCANCOR workshop on institutional analysis was developed, and by now 19 cohorts of young European researchers have received a healthy dose of institutional training. Many of these former students are now professors across European universities and they have become some of the most avid advocates of different styles of institutional thinking.

But, of course, readers produce a text. Once a paper and a book are out in the world, the authors no longer have control over them, and the direction the work may take is often unanticipated. There have been several meta-analyses and assessments of the 1983 paper, each making different points about the paper's reception. For example, Mizruchi and Fein (1999) review empirical tests of the three mechanisms, noting that mimetic isomorphism was the most commonly studied process, whereas coercive isomorphism the least examined. Greenwood and Meyer (2008, p. 258) asked how did "a paper anchored in political and cultural studies become a standard item on reading lists of graduate business schools?" They suggest the novel focus on fields was the primary reason for the attention the paper has received. Our claim that a field is a community of organizations who interact regularly with one another and develop a shared, mutual understanding of the enterprise they are engaged in helped launch numerous empirical studies of field formation and development. A meta-analysis by Heugens and Lander (2009, p. 77) found, perhaps surprisingly, that conformity to institutional norms not only increased the symbolic performance of organizations *but* "simultaneously improves the substantive performance of organizations, . . . as they get access to more attractive resources under more favorable conditions."

The Development of Institutional Theory

By the 1990s, institutionalist lines of thought in sociology and organization studies were burgeoning. Our paper was widely referred to, and a kaleidoscope of different uses of it were appearing. In this section, we offer a cursory response to several of the main trajectories, restricting ourselves to the avenues we have followed. There are, to be sure, many other roads taken. For an overview of work more in the management vein, see the two comprehensive handbooks of organizational institutionalism (Greenwood et al., 2008, 2017); for a sweeping effort at synthesis, see Glynn and D'Aunno (2023); for a guide to work in economics, see Hodgson (2006); and, of course, Scott (2013) provides very useful summaries of important streams of institutional research.

World society

One distinctive line of work expanded institutional research to a more global and abstract level. World society theory took Weber's arguments about the rationalization of modern life seriously, locating the spread of organizing around the world in claims for citizenship rights, the expansion of higher education, and new forms of global governance. The argument that supra-national forms of governance were a constitutive element of global society was made forcefully by J. W. Meyer et al. (1997), and further elaborated by Boli and Thomas (1997) in their analysis of the spread of international nongovernmental organizations throughout the 20th century. Drori et al. (2003) added the focus on science-based institutions and their global impact, while Schofer and Meyer (2005) provided startling evidence for the expansion of university education globally, with its attendant effects on women's rights, consumer attitudes, and ideas about forming organizations. Frank and Meyer (2020) place the modern university in broader perspective, depicting it as the most powerful institution for transnational translation as well as standardization of the local particularities, and for the cultural production of modern actorhood on the global stage.

J. W. Meyer (2010) argued that these trends led to a new definition of individual agency, with more and more people around the world assuming the role of "actors," that is, as empowered agents who see themselves in control of their own narrative, not bound by tradition or social constraint. Drori and Krücken (2009) provide an overview of this line of thinking. Bromley and Meyer (2015) subsequently turned this perspective to the world of organizations. They observed both that the boundaries between public, private, and nonprofit organizations were blurring, and that all organizations had taken on many more societal tasks, assuming responsibility for such activities as environmental sustainability, human rights, and consumer values, all of which were once well beyond the purview of individual organizations.

The world society perspective is deeply phenomenological, arguing that actors on the global stage are playing highly scripted roles, drawn largely from the wider institutional environment. The proponents of this view highlight the enormous number of professional and supra-national organizational social structures that have proliferated, claiming transcendent or universal purposes concerning human rights, the environment, or economic prosperity. J. W. Meyer (2010, p. 6) argues that these claims are derived "from roots that would once have been considered religious." The authority of these claims comes not from their proponents' self-interest, but rather because they instruct and advise people on how to be better actors in light of global principles, creating a "cultural canopy" (J. W. Meyer, 2010, p. 8) that links individual actions to more universalistic cultural rules. This celebration of the rights of all human beings has been widely documented by world society scholars, in all manner of contexts. One very useful insight, in our view, is the extent that professional staff act as "receptor sites" for standards proselytized in the wider environment. As a result, more and more expectations about appropriate managerial behaviors are circulating in the wider environment, and these ideas become instantiated in organizations around the globe (Frank et al., 2000).

We did not anticipate this macro turn. We wrote with a US-centered lens, at a time when fields were understood to be largely industry or sector based, such as the health care field or the arts sector. Moreover, in our view these sectors defined the axes of communication and interaction. Meyer and colleagues saw the importance of transnational organizations, such as the United Nations, the World Bank, and emerging transnational professional associations. They recognized the globalization of previously nationally focused social issues like women's rights, and the pivotal role of universities in replicating international modes of thought across diverse national societies.

Micro-foundations

A different strand of work took an alternative tack and went micro, asking how institutions get "inside the heads" of individuals. From this micro perspective, institutions are reproduced through the routine activities of individuals (Powell & Rerup, 2017; Zucker, 1977). Members of organizations go about their daily practices, inhabiting their organizations, and discovering puzzles or anomalies in their work. They problematize these questions, "pull down" answers from the wider environment, or draw on their existing stock of knowledge. In so doing, participants ascribe meaning to their solutions. They develop rules of thumb, or more abstractly theories, and reproduce new understandings that become taken for granted. In sum, many "small" features of social life are highly institutionalized, for instance, wedding or graduation ceremonies, but they could not be sustained without the scaffolding of "larger" forces, for example, the legal institution of marriage or the structure of higher education. In turn, these micro interactions add emotions and substance to the macro institutions.

This approach has two disparate sources: the Carnegie School's work on premises, aspiration levels, and standard operating procedures (Cyert & March, 1963; March & Simon, 1958; Simon, 1947) and work by phenomenologists Peter Berger and Thomas Luckmann (1967) and ethnomethodologists Harold Garfinkel (1967) and colleagues' work that illuminated how categories and classifications become interpretive schemata that members draw on (Bittner, 1967; Sudnow, 1965; West & Zimmerman, 1987). Herbert Simon's (1947) early work on habit recognized that such behavior is not passive, but rather a means by which attention is directed to selected aspects of a situation. Perception in organizations is selectively shaped by organizational routines, which are often managed by those in charge. To make the Carnegie School work more useful as a micro foundation for institutional analysis, it is necessary to go beyond viewing routines as black boxes or the product of managerial dictates, and explain how the routines grow out of lived experiences. Cohen (2007) and Winter (2013), drawing on the ideas of John Dewey (1922), emphasize that the enactment of routines is based on deliberation. Winter (2013, p. 131) beautifully describes decision making in organizations as akin to "a kaleidoscope, offering innumerable complex and different patterns, featuring the three primary colors of habit, impulse, and deliberation." People can manage this complexity "because habit steadies both the real picture and the hand that holds the kaleidoscope, and sometimes the external environment also cooperates in sustaining the picture."

Ethnomethodology offers a guide to how premises and routines are both built up from the ground and pulled down from the larger environment. Garfinkel's (1967) focus on practical reasoning and the role of accounts in normalizing the social order has interesting resonance with the emphasis on the limits of human reasoning and the process-oriented account of Carnegie scholars. When everyday encounters generate problems or produce ambiguity, categories and classifications that are present in the larger environment can become schemata that individuals draw on to get by in the world. These schemata become routinized with repeated use, becoming a repository of organizational knowledge.

Hallett's (2010) study of teachers' responses to accountability reforms at a public elementary school offers an apt illustration of how higher-level school reforms encounter classroom realities. Hallett describes how the hiring of a determined, accountability-minded school principal transformed a previous ceremonial commitment to maintaining school standards into confusion and recalcitrance. The classroom autonomy of teachers and their instructional routines were thrown into turmoil; uncertainty and even resistance ensued. Such effort at bringing reforms inside the classroom showed both that higher-order reforms are not adopted seamlessly, and that legitimacy has to be created from the ground up. This strand of work emphasizes how participants inhabit institutions, offering insight into the recursive relations between institutional forces and social interactions inside organizations (Hallett & Hawbaker, 2021).

Heterogeneous diffusion

Early research in institutional analysis focused on the travels of organizational practices and structures. Tolbert and Zucker's (1983) important benchmark charted how civil service reforms spread across US states (see also Knoke, 1982). Subsequently, studies of the spread of all manner of practices burgeoned: accounting standards (Mezias, 1990); environmental standards (Delmas, 2002); quality assurance requirements, such as ISO 9000 (Guler et al., 2002), corporate governance efforts (Davis, 1991; Davis & Greve, 1997), and supply chain certification (Bartley, 2007), to name but a few. Nor did this work stop at the US border; scholars examined the spread across the globe of women's rights (Ramirez et al., 1997), human rights covenants (Cole, 2005), and neoliberal, market-oriented reforms (Dobbin et al., 2007; Henisz et al., 2005; R. E. Meyer & Höllerer, 2010).

Conceptually, diffusion presents a challenge that our 1983 paper evaded. What is being diffused—a discrete standard, as in ISO 9000 or accounting rules; legislative templates, as in the case of women's suffrage; or a vague commitment, as with corporate pledges to avoid suppliers who use child labor? What are the channels of diffusion—networks of affiliation as with membership on corporate boards in the case of poison pills; mimicry, as appeared to be the mechanism with civil service reform; or coercion, as with World Bank demands for accounting reforms? Once adopted, does the practice change the internal operations of organizations or was it merely window dressing (Bromley & Powell, 2012)? More careful analysis of the effects of practices and structures that have spread is essential. David Strang, in a series of papers with colleagues, has thought deeply about whether practices spread because they become theorized as portable abstractions (Strang & Meyer, 1993), are mobilized by the mass media and advocates (Strang & Soule, 1998), or emulate others' success stories (Strang & Macy, 2001).

These questions led to efforts at understanding heterogeneous diffusion, that is, the varied ways in which different types of organizations are more or less receptive to changes in the external environment, and how the existing practices of organizations shape the internal enactment of larger, social processes. Put differently, although there are potent isomorphic pressures in the wider environment, the way in which organizations receive and interpret these influences conditions how they implement them. This process of differential receptivity has been observed in many contexts. Prior adoption of some practices may make an organization more susceptible to subsequent novel practices (Mahoney, 2000). Professional staff may act as receptors for new organizational practices, as in the nonprofit sector where leaders with business degrees embraced strategic planning (Hwang & Powell, 2009).

There are circumstances, however, where the state or other powerful organizations make strong but ambiguous and contested demands. A notable example of divergent and inconsistent responses to opaque signals has been the long struggle for equality of opportunity and affirmative action in employment. Back in 1964, the US Congress passed the Civil Rights Act, which extended equal protection to the employee–employer relationship. Discrimination was banned, but few guidelines were offered as to how the prohibition should be enforced. Organizations slowly established policies to address discrimination, and diversity programs expanded. Nevertheless, progress at diversifying the ranks of managers in US organizations has been mixed.

Institutional scholars have studied this process extensively. Edelman (1992) showed that human resource departments were born out of the cascade of lawsuits following the civil rights legislation. In a series of cases, judges asked companies that were brought to court if they had a department in place to address discrimination issues. Corporations learned that if they provided anti-harassment training and non-discrimination guidelines for employees, they could avoid liability for an employee's actions. The proliferation and elaboration of contemporary human resources departments are a byproduct of the sinuous road that began with the Civil Rights Act.

Dobbin and Kalev (2022) studied a sample of some 800 large and midsize US corporations over a span of more than 30 years. They examined the wide array of practices and policies implemented by companies to purportedly enhance equal opportunity employment. Some companies develop policies to avoid liability; whereas others see diversity efforts as a reflection of organizational values. But regardless of the motivation, the impact of diversity policies has left much to be desired. Programs that shame employees for holding stereotypes or that threaten them because of possible litigation often backfire. Training programs that support mentorship, listening, and participation have positive effects. Yet many organizations have tried a kitchen-sink approach, with counter-productive results. Now, with diversity efforts reeling in the wake of the US Supreme Court's ruling against affirmative action in college admissions, the fate of diversity training is up for debate. It is an example of a diffusion process that has had more symbolic than substantive value. The fate of diversity and inclusion efforts is an example, too, of contested diffusion, that is, a case where the spread of a practice provokes counter-movements and/or criticisms that what is being adopted is ineffectual. Neither alternative was considered in our 1983 paper.

The challenge for diffusion studies is to understand better the mechanisms of adoption and how newly adopted practices mesh with existing organizational practices, structures, and values. Longitudinal analyses that examine both the predictors and consequences of adoption, as in the studies of diversity training, are essential. Moreover, new theories or practices are not simply added at random to an organization's repertoire. Rather, it is critical to analyze the relationship between new efforts and established practices. Certain older practices and ideas may be especially sticky and militate toward the adoption of some newer practices over others.

This insight is critical, we believe, to understanding how strong isomorphic forces can lead to complex patterns of organizational heterogeneity, rather than to simple forms of homogeneity. Conversely, under what conditions do we witness the classic form of institutional innovation that occurs when individually rational sense-making or problem-solving efforts lead to collectively dysfunctional equilibria around practices or structures of dubious efficacy? Answering these questions calls attention to the dynamics of thresholds—points at which a new practice becomes mandatory for legitimacy within an organizational field. And apprehending diversity requires research on the dynamics of partitioning, when fields divide into segments subject to different pressures and the adoption of differing norms. Moreover, these puzzles require that we understand the rules by which organizations in competitive fields differentiate or brand themselves in ways that gain rather than lose legitimacy: Why, for example, when punk music emerged as a field, did bands conform stylistically and procedurally, yet vary dramatically (for instance, compare the Clash to the Sex Pistols) in their musical sounds (Crossley, 2008)?

A body of research that focuses on the advantages accruing to deviance addresses the problem of "optimal distinctiveness" (Zhao & Glynn, 2022), and has done so empirically in arenas as diverse as popular music (Askin & Mauskapf, 2017) and scholarly publications, where a Goldilocks level of differentiation pays off in greater recognition and success. Although early research focused on the evaluation of cultural products by audiences, more recent work suggests that distinctiveness in cultural style (for example, the way representatives interact with clients) can be advantageous (Gouvard et al., 2023). Work in economics emphasizes optimal deviance as a level of departure from industry norms that opens space for recombinant innovation (Van den Bergh, 2008). Other traditions—for example, White's (1981) model of firms as seeking unique market niches or work in marketing on branding—take for granted that diversity, not conformity, is necessary for success. Most of these approaches do not address institutional theory (Lounsbury & Glynn, 2001, on cultural entrepreneurship is a notable exception). But constructive engagement with these literatures may help institutional theorists to clarify the features of organizations (and the types of organizations) for which conformity or distinctiveness, respectively, are rewarded, and the scope conditions governing such generalizations.

Institutional change

Research on diffusion leads to what we regard as perhaps the most vexing questions in organization studies: How do new ideas and practices enter organizations and stick? Why do new kinds of institutions emerge, take root, and persist? When are organizations more vulnerable to changes in the wider environment and when are they resisted? Useful, albeit partial, answers to these crucial puzzles have been offered in many different subfields. Exogenous shocks are a familiar explanation. Social upheavals, technological disruptions, and regulatory change can disturb the status quo and signal opportunities for new practices and new organizations. In such circumstances we often find differential selection, as new entrants replace established ones (Arthur, 1994; Hannan & Freeman, 1977). A similar line of explanation, unfolding at a different level of analysis, argues that spaces for novelty are found in particular locations in an organizational field: people on the periphery of a field are less beholden to its practices and are more likely to initiate change (Fligstein & McAdam, 2012; Leblebici et al., 1991; Schneiberg, 2007). Other explanations stress complexity, conflict, and plurality, suggesting that those in contradictory positions are most able to initiate change (Thelen, 2004). Still another productive line of work calls attention to "critical junctures," or periods of contingency when the usual constraints on action are lifted or eased (Capoccia & Kelemen, 2007; Katznelson, 2003).

A social-movement-focused strand of work builds on the insight that new organizational forms may arise when challengers devise novel tools as they seek to change extant arrangements. For example, in her study of the women's movement at the dawn of the 20th century, Clemens (1997) shows that as outsiders to the bureaucratic political system, female activists drew on repertoires of organizing from beyond the political sphere as they sought to gain inclusion and influence. Similarly, Schneiberg (2002) shows how mutual fire insurance associations arose in the early 20th century through the efforts of farmers and small property owners to resist high prices resulting from increasing corporate concentration. Such studies emphasize "the construction of new organizational forms as a political process in which social movements play a double-edged role: They de-institutionalize existing beliefs, norms, and values embodied in extant forms, and establish new forms that instantiate new beliefs, norms, and values" (Rao et al., 2000, p. 240).

But institutional innovation does not emerge only from the actions of under-resourced challengers against well-supported incumbents. Incumbents, too, may try to create or support new organizational forms in order to secure or enhance their dominant position (Padgett & Powell, 2012). Conservative elites frequently innovate, sometimes unintentionally, as they attempt to retain power. In 17th-century France, for example, Louis XIV facilitated the emergence of a new organizational form—a hybrid of royal academy and public theater—when he offered legal and material support to the founder of the first French opera company (Johnson, 2008). In a contemporary example, Suddaby and Greenwood (2005) show that attempts to build a new organizational form that combined legal and accounting services into a multidisciplinary practice could be traced directly to efforts by the most powerful accounting firms to capitalize on their superior resources, expertise, and network ties.

Other scholars seeking to explain how the status quo is altered have turned to the concept of institutional entrepreneurship, highlighted by DiMaggio (1988, p. 14): "New institutions arise when organized actors with sufficient resources see in them an opportunity to realize interests that they value highly." Institutional entrepreneurs are viewed as creative individuals whose social positions and skills allow them to recognize problems or opportunities and take advantage of enabling conditions to effect institutional change (Battilana et al., 2009; Beckert, 1999; Eisenstadt, 1980). Work on institutional entrepreneurship has emphasized the micro-level processes through which intentional change takes place, including acts of convening, the framing of projects, mobilizing resources, and the binding of new practices to extant institutions. Such work has shed light on processes of organization-building that went largely unexamined in early neo-institutional work.

Nonetheless, this line of work often overstates the power of individuals to orchestrate desired changes, giving change agents an unusually "muscular" quality (see also J. W. Meyer, 2017; R. E. Meyer & Höllerer, 2014). These analyses often conflate macro-factors with structural forces and assume these factors only reinforce stability and homogeneity, while associating micro-factors with entrepreneurship and agency, thus equating change with the micro-level and persistence with the macro (Powell & Colyvas, 2008). This oversight usually derives from the short temporal frame covered by studies of institutional entrepreneurship. Against a static backdrop, the "embedded agency" of individual institutional entrepreneurs looms artificially large. Moreover, because the cases studied have almost exclusively involved successful projects, it has been tempting for researchers to seek out confirming signs of entrepreneurs' "heroic" contributions to observed outcomes (in contrast to the entrepreneurial network approach of Ruef, 2010).

Some scholars have focused more on the mechanisms by which new ideas enter and alter organizations. Problems may often be triggered by contradictions between practices. Such tensions among competing policies can be potent and disruptive. In some cases, new practices displace previously dominant ones. Displacement frequently accompanies a political challenge against an established order, as Rao et al. (2003) show in the case of the triumph of nouvelle cuisine over classical cooking in France. Mahoney and Thelen (2010) describe displacement as a process in which existing rules are replaced by new ones, sometimes abruptly, such as during an earlier era of market-oriented reforms in Cuba and China.

Alternatively, new practices can hybridize in manifold ways. One possibility is that new practices layer on or adhere to previously adopted ones, as in the case of a corporate social responsibility unit whose activities are separate from the core operations of a firm (Bromley & Powell, 2012). Layering represents the grafting of new elements onto otherwise stable configurations, in the form of edits or amendments (Thelen, 2004). Scott et al. (2000) observe this process of sedimentation in the professionalization of the US health sector, where professional norms, regulatory concerns, and market forces reflect the amendments of different eras of medical, government, and commercial dominance, respectively. In this case, more recent regimes revise, but do not eliminate, earlier organizing norms.

Another possibility is that different approaches blend and create an amalgam that is distinct from the individual ingredients (Glynn & Lounsbury, 2005; Polzer et al., 2016). Compared to displacement, layering and blending are more common when incumbents can effectively resist the introduction of new rules (Mahoney & Thelen, 2010). An alternative mechanism is intercalation. Traditions can meet and even transform one another, but they do not lose their separate character. As Galison (1997) documents in his remarkable analysis of the history of physics, intellectual traditions and academic departments coordinate with one another without homogenization. Physics consists of two predominant modes: theoretical and experimental. Career tracks, journals, and conferences are distinct; nevertheless, developments in one precipitate change in the other. Yet neither subfield dominates the other, nor do the two combine into an amalgam of practices.

In an organizational context, this idea suggests that new theories and practices are not simply added to an organization's repertoire, sitting atop the portfolio as the new thing. Nor do they converge into a composite, becoming unrecognizable. Intercalation is recursive. Some older ideas are especially sticky: they attract newer ones, and new efforts can transform established practices. But unlike blending, where the elements cannot return to their former state, with intercalation they persist as independent entities, albeit altered. Brandtner et al. (2023) document this process in an analysis of how transparency and accountability requirements are incorporated into ongoing outreach activities of nonprofit organizations.

One exciting new tool for studying organizations, from an institutional perspective, is computational text analysis, which provides a method to identify institutional variations from documentary data. A prescient early example was Ruef's (2000) use of textual data and latent semantic analysis to identify emergent organizational forms in the healthcare industry. DiMaggio et al. (2013) used latent Dirichlet allocation to identify distinctive organizational models in statements by arts policy makers. As computational routines continue to become more powerful, their ability not just to identify instances of institutional(ized) models in textual data (e.g. corporate or nonprofit annual reports), but also to detect mixed-membership cases indicative of institutional hybrids or emergent forms, may provide a powerful tool for researchers interested in studying institutional diversity and change.

Some social worlds are more hospitable to novel introductions or exogenous perturbations than others. Explaining this relative poisedness is, we contend, essential to understanding when and why new organizational forms appear and persist.

"Poisedness" refers to the availability or vulnerability of a social and historical context to the reception of and reconfiguration by an innovation (Padgett & Powell, 2012). Poisedness points to circumstances in which relations and trends in one domain are available to employ as innovations in an adjacent domain. For example, Padgett demonstrates how changes in economic ties recast both political alliances and family relations in Renaissance Florence (Padgett & Powell, 2012). When an adjacent domain becomes a self-sustaining pool for innovations, the fates of two realms become intertwined, with cascading effects. As but one illustration, the early US biotech industry was catalyzed when venture capital firms initiated the unheard-of model of funding elite scientists to develop new medicines. This new source of funding not only created a new category of person, a scientist entrepreneur, but it also opened the door for other faculty to start creating companies, and universities to avidly pursue the licensing of research done on US campuses. When science and finance became enmeshed, the idea of intellectual property was born (Padgett & Powell, 2012).

To understand institutional change, attention needs to be paid to the shifting causal relations among multiple societal levels. More concretely, how are individual efforts at organizing facilitated or thwarted by available meso-level resources, and how are those resources themselves produced and structured by macro-level processes? How do macro-level conditions foster or impede the emergence and success of individual innovators? Studying social poisedness requires situating the character of innovators and their organizational agendas with regard to the structural features of the social world into which they are introduced. This task, which calls for macro-, meso-, and micro-level analysis on an expansive temporal scale, is a key frontier, we believe, for organization scholars.

Conclusion

Writing this essay has provided an opportunity for us to reflect on some of the ways in which the academy has changed, and to recall how research and theory are linked to one another. Our ideas about mechanisms of isomorphism emerged from our separate lines of research, book publishing and arts organizations, fields that today would be labeled creative industries. For us, these were fields that involved the production of culture, so perhaps it is not surprising that we were drawn to cultural accounts of organizations. But it was through conversations about the evolution of these sectors that we identified forces in the wider environment that impinged on organizations in a field and led them to become more alike. Whether it was demands on nonprofits to follow accounting standards and hire professionals to navigate the grants economy, or conglomerate firms taking over independent publishing houses and holding them to common standards of appraisal, based on return on investment, we began to see how external pressures shaped the operations of organizations in these two disparate sectors. Motivated by these empirical observations, we searched for ideas and readings that would help us make sense of the transformations we saw.

The *Iron Cage* paper that eventually emerged and became widely discussed was born of a desire to make sense of trends we both observed, rather than to produce a novel, abstract theory. We had the advantage of a rich intellectual community of receptive, or at least indulgent, colleagues, who were willing to listen to our ideas, look over our drafts, and suggest readings from their respective disciplines. We listened to legal scholars and historians at PONPO who studied nonprofits, to organizational economists Dick Nelson and Sid Winter who sent us back to read more of the Carnegie tradition, and to sociologists Rosabeth Kanter and Eleanor Westney who studied the cultural transmission of organizational practices. We cannot emphasize enough how the suggestions from these colleagues and others enhanced the 1983 paper.

In today's context, these conversations with people who were far from our home field might be considered unusual. Many scholarly communities are now like suburbs, nice quiet villages that have their own language, their own ways of doing work. Of course, suburbs are conservative places. They are insular, and people move to them for quiet and some solitude. Every now and then there's a park or a square and where there is a park, people from different suburbs come to meet. In our current academic circumstances, you could think of the parks as places where topics are discussed, whether it is digitalization, polarization, or uberization. After such discussions of *ion* words, scholars return to their suburbs. Of course, such interaction is healthy. But we think it is not enough. We need much more engagement with diverse lines of work. In short, we need boulevards and avenues that run through the suburbs and around the parks, where a Creole language could be developed that reinvigorates the isolated suburbs. Perhaps it was our naivete or our precarious scholarly positions in multiple homes, but we were lucky to be in a setting where we could talk seriously about our work with colleagues, junior and senior alike, from a wide array of disciplines. It was through contact with the unfamiliar that we fashioned our ideas. These conversations helped us turn our empirical observations into a more abstract account of how organizations were increasingly oriented to the fields in which they were respectively enmeshed and how societal forces operated on them.

Could we have written and published *The Iron Cage Revisited* today? Since the 1980s, the world of organizational research has become more autonomous (there are more dedicated journals, more doctoral programs in business schools producing the PhDs whom business schools hire) but, as a consequence, it also has become less integrated into the rest of the academic world. It is not clear that younger scholars have access to the range of ideas or insights that were available to us at Yale, or that they would be encouraged to leave the confines of their subunits to pursue them. By the same token, would the *American Sociological Review* take a chance on a paper like ours today? Or might they consider it "too specialized" and "more appropriate for a specialty journal"?

In closing, we would encourage organizational scholars to seek out and connect with the unfamiliar, however uncomfortable that contact may be. Otherwise, there is a risk that research will reproduce itself, that research programs will stay in deeper furrows and narrower lanes, and eventually run out of fuel. The advantage of engaging ideas from other places is that it causes you to rethink what you have been doing. At the very least, graduate students and young faculty should be in at least two different communities at once. Progress requires the recombination of distant ideas and insights, without which any discipline runs the risk of insularity, stagnation, and the homogeneity that coercive, normative and mimetic mechanisms may produce in research communities, as well as in organizations.

Acknowledgements

We thank the Networks and Organizations workshop at Stanford for comments, as well as Joep Cornelissen, Santi Furnari, and Markus Höllerer for great suggestions. Finally, we want to thank each other. It was a wonderful experience to write the original paper, the introduction to the "orange" book, and this one together. Long-term collaboration and friendship are to be cherished.

Declaration of conflicting interests

The author(s) declared no potential conflicts of interest with respect to the research, authorship, and/or publication of this article.

Funding

The author(s) received no financial support for the research, authorship, and/or publication of this article.

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